INDIA-CHINA TIES

FROM THREATS TO MUTUAL INTERESTS



OVERALL RELATIONSHIP

From confrontation to competitive coexistence

INDIA PM Modi spells out mutual respect, mutual sensitivity and mutual interest, with border peace, as the basis for better ties

CHINA Xi stressed "partners, not rivals; opportunities, not threats", with border issue and wider relationship advancing in tandem

The Shift: Manage rivalry without making it confrontational



THE BORDER DISPUTE

From crisis management to cautious resolution

INDIA Having secured disengagement at post-2020 flashpoints, Delhi wants boundary agreements respected, de-escalation and a boundary settlement

CHINA Beijing wants boundary kept in "appropriate position" without holding relationship hostage

The Shift: New hotlines and protocols, possible clarification of parts of LAC and "early and substantial harvest" in boundary delimitation



TRADE & INVESTMENT

From economic dependence to managed interdependence

INDIA Trade can expand, but structural deficit, supply-chain weaknesses and market access must improve; Chinese investment can return without compromising security

CHINA Economic ties to be mutually beneficial, with trade concerns dealt with "in a balanced way", without restrictions

The Shift: Not business as usual, but calls for more trade and investment, greater reciprocity



PEOPLE-TO-PEOPLE

From disconnect to reconnection

INDIA Restore mobility and interactions disrupted after downgrade in ties post 2020

CHINA Expand flights and other contacts to improve public perception of relationship

The Shift: Flights and visas back on track, Kailash Mansarovar pilgrimage resumed and three border trading points back in business. Modi-Xi call for more cultural exchanges and business linkages

OTHER FISH TO FRY

Several top India-China experts regard the use of the word "substantial" to qualify the ongoing quest for an early harvest on the border settlement as the most significant development in the past decade. But Ashok Kantha, a former ambassador to China, says there is a key distinction between creating machinery and producing a settlement. According to him, the new Expert Group has yet to agree even on its Terms of Reference. The phrase "early and substantial harvest", he says, was originally an Indian coinage. Chinese acceptance of the terminology does not necessarily mean acceptance of India's interpretation of what constitutes a harvest—a composite solution.



"IF YOU DO ALL THE EASY BITS, HOW WILL YOU SOLVE THE HARD BITS? THE EASY BITS ARE BARGAINING CAPITAL FOR THE BIGGER PACKAGE SETTLEMENT"

SHIVSHANKAR MENON
Former NSA

Another expert, who did not want to be named, says what is under way is "armed co-existence" rather then reconciliation, aimed at reducing the danger of another military collision while reopening political and economic engagement. According to him, "There is no evidence yet of a strategic reset." He also believes that the new China equation is also a result of India rediscovering the logic of strategic autonomy after overestimating its bargain with Trump's Washington. His reason: "We talk the language of multi-alignment, but we've been uni-aligned for the last few years. And the chickens are coming home to roost." China has sensed an opportunity in India's recent difficulties with Washington and is using warmth with Delhi to pull India back from what it perceives as an excessive tilt toward the United States.